

Longnorth Limited

Reports and financial statements

for the financial year ended 30 April 2019

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for the financial year ended 30 April 2019

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Longnorth Limited

Directors and other information

Directors

Ms. M.E. Barracullen

Mr. J. Corbys

Mr. A. O'Connell

Secretary

Matsick Trust Limited

Registered office

Brinsley House

Block P7

East Point Business Park

Peircelee

Dublin 3

Auditors

Deloitte Ireland LLP

Chartered Accountants and Statutory Audit Firm

Deloitte & Touche House

Earlsfort Terrace

Dublin 2

Bankers

Bank of America

101 South Tryon Street

Charlotte NC

United States

Solicitors

A&L Goodbody

28 Wall Quay

Dublin 1

Company number

81753

Longnorth Limited Directors' report for the financial year ended 30 April 2019

The directors present their annual report and the audited financial statements of the company for the financial year ended 30 April 2019.

Principal activity

The company is a holding company. Details of the company's subsidiaries and associates are set out in note 7 to the financial statements.

Performance review

The payment of the dividend from Clickock Limited was restricted in 2018 by the underpayment and delivery to Longnorth Limited of the preliminary rates. The Clickock dividend was paid to the Company on 29th of June, 2019.

Both the level of business and the financial position financial position were satisfactory.

On 29th of August, 2018, a voluntary strike off was filed for Clickock Limited and on 12th of December, 2018, Clickock Limited was dissolved.

Risks and uncertainties

As the company is an investment holding company, the directors are of the opinion that the key risk being the company is the possible diminution in the carrying value of the investments held in its investment. It is a situation indirectly subject to the risks and uncertainties experienced by its investee, its business predominantly operates in the alcoholic beverage industry. The directors have determined that the main risks and uncertainties prevailing in the alcoholic beverage industry of its investee are the competitive nature of the premium spirits market and the reliance on a small number of products to make up the majority of the turnover and gross profit generated by its investee. To offset these risks, the management of the company's investee main subsidiary, focused marketing investment. In addition, the company's investee are securing a number of products with long term potential to expand the range of products.

Future developments

The directors expect that the prime level of activity will be sustained for the foreseeable future.

Dividends, dividends and reserves

The last after tax profit for the financial year was US\$1,375,000 (2018: US\$26,500). The company did not pay any dividends during the financial year (2018: US\$nil). Reserves at 30 April 2019 were US\$205,213,100 (2018: US\$205,650,000).

Events since the financial year end

There have been no further significant events since year end.

Accounting records

The directors have taken the necessary steps to ensure compliance with the requirements of Sections 204 to 205, of the Companies Act 2014 with regard to the keeping of accounting records on the engagement of appropriate qualified accounting personnel and the use of suitable accounting systems. The company's accounting records are maintained at the company's registered office at Newry House, Block 29, West Point Business Park, Dublin 2, Ireland.

Longnorth Limited
Directors' report (continued)
for the financial year ended 30 April 2019

Directors and secretary

The directors who served at any time during the financial year except as noted and subsequent to the financial year-end, were as follows:

Directors

Mr. M.E. Donohoe (USA)
 Mr. L. Cunningham (USA) (resigned 25 November 2018)
 Mr. L. Casella (USA)
 Mr. A. Agnew (USA)
 Mr. J. Adams (USA) (resigned 14 August 2019)

Secretary

Ms. M.E. Donohoe (resigned 25 November 2018)
 Margaret Ther Limited (resigned 25 November 2018)

Directors' and secretary's interests in shares

No director or secretary had, at any time during the year, a beneficial interest in the shares of the company.

The beneficial interests, including the interests of spouses and minor children, of the directors and the company secretary who held office as 30 April 2018, in the share capital of the offshore patent company, Brown-Boone Corporation, as at 30 April 2018 and 3 May 2018, was less than 1% of the total share capital of the company.

Approval of Reduced Disclosures

The company, as a qualifying entity, has taken advantage of the disclosure exemption in 305-105 paragraph 1.12. The company's shareholders have been notified as having agreed the reduction in disclosure of the disclosure exemption and no objections have been received.

The company does intend to take advantage of these exemptions in the financial statements to be issued in the following financial year. Objections may be received on the company by American Investors C.V., as the immediate parent of the company.

Going concern

The directors confirm their assessment of going concern in item 5.

Statement of relevant audit information

For those each of the directors in office at the date of approval of the financial statements is aware:

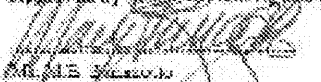
- a) There is no relevant audit information of which the Company's auditors are unaware and
- b) The Directors have taken all the steps that they ought to have taken as directors in order to ensure themselves aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

This confirmation is given and should be interpreted in accordance with the provisions of Section 520 of the Companies Act 2014.

Auditors

The auditors, Deloitte Ireland LLP, Chartered Accountants and Statutory Audit Firm, continue in office in accordance with Section 383(2) of the Companies Act 2014.

Approved by the Board and signed on its behalf by:


 Mr. M.E. Donohoe
 Director
 Date: 24 Feb 2020


 Mr. A. Agnew
 Director

Longnorth Limited

Directors' responsibilities statement

The directors are responsible for preparing the directors' report and the financial statements in accordance with the Companies Act 2014 and the applicable regulations.

UK company law requires the directors to prepare financial statements for each financial year. Under the law, the directors have elected to prepare the financial statements in accordance with IFRS 103 The Financial Reporting Standard applicable in the UK and Ireland issued by IFRS ("effective financial reporting framework"). Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the assets, liabilities and financial position of the company at the financial year end and also of the profit or loss of the company for the financial year and otherwise comply with the Companies Act 2014.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies for the Company financial statements and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether the financial statements have been prepared in accordance with the applicable accounting standards, identify those standards, and state the effect and the reasons for any material departure from those standards; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for ensuring that the company keeps or causes to be kept adequate accounting records which accurately explain and record the transactions of the company, enable them to determine the assets, liabilities, financial position and profit or loss of the company to be determined with reasonable accuracy, enable them to ensure that the financial statements and directors' report comply with the Companies Act 2014 and enable the financial statements to be audited. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Independent auditor's report to the members of Longnorth Limited

Report on the audit of the financial statements

Opinion on the financial statements of Longnorth Limited (the 'company')

In our opinion the financial statements:

- give a true and fair view of the assets, liabilities and financial position of the company as at 30 April 2019 and of the loss for the financial year then ended; and
- have been properly prepared in accordance with the relevant financial reporting framework and, in particular, with the requirements of the Companies Act 2014.

The financial statements we have audited comprise:

- the Profit and Loss Account;
- the Balance Sheet;
- the Statement of Changes in Equity; and
- the related notes 1 to 13, including a summary of significant accounting policies as set out in note 1.

The relevant financial reporting framework that has been applied in their preparation is the Companies Act 2014 and FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" issued by the Financial Reporting Council ("the relevant financial reporting framework").

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (Ireland) (ISAs (Ireland)) and applicable law. Our responsibilities under those standards are described below in the "Auditor's responsibilities for the audit of the financial statements" section of our report.

We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in Ireland, including the Ethical Standard issued by the Irish Auditing and Accounting Supervisory Authority, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which ISAs (Ireland) require us to report to you where:

- the directors' use of the going concern basis of accounting in preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

Other information

The directors are responsible for the other information. The other information comprises the information included in the Reports and Financial Statements for the financial year ended 31 December 2018, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

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Independent auditor's report to the members of Longnorth Limited

Other information (continued)

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Responsibilities of directors

As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view and otherwise comply with the Companies Act 2014, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (Ireland) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they would reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs (Ireland), we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of the auditor's report. However, future events or conditions may cause the entity (or where relevant, the group) to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

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Independent auditor's report to the members of Longnorth Limited

Auditor's responsibilities for the audit of the financial statements (continued)

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that the auditor identifies during the audit.

This report is made solely to the company's members, as a body, in accordance with Section 391 of the Companies Act 2014. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Report on other legal and regulatory requirements

Opinion on other matters prescribed by the Companies Act 2014

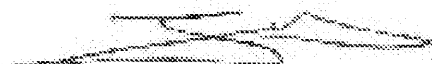
Based solely on the work undertaken in the course of the audit, we report that:

- We have obtained all the information and explanations which we consider necessary for the purposes of our audit;
- In our opinion the accounting records of the company were sufficient to permit the financial statements to be readily and properly audited;
- The financial statements are in agreement with the accounting records;
- In our opinion the information given in the directors' report is consistent with the financial statements and the directors' report has been prepared in accordance with the Companies Act 2014.

Matters on which we are required to report by exception

Based on the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the directors' report.

We have nothing to report in respect of the provisions in the Companies Act 2014 which require us to report to you if, in our opinion, the disclosures of directors' remuneration and transactions specified by law are not made.



John Kelly
For and on behalf of Deloitte Ireland LLP
Chartered Accountants and Statutory Audit Firm
Deloitte & Touche House, Earlsfort Terrace, Dublin 2

Date: 12 March 2020

Longnorth Limited
Profit and loss account
for the financial year ended 30 April 2019

	Note	2018 US\$'000	2017 US\$'000
Administrations		(53)	76
Loss on ordinary activities before taxation	3	(60)	(28)
Loss on disposal of investment	4	(1,304)	-
Loss on extraordinary activities before taxation		(1,314)	-
Taxation	5	-	-
Loss on ordinary activities after taxation		(1,377)	(28)

The company's activities consist solely of continuing operations. All recognition, gains and losses for both the current financial year and the previous financial year are included in the profit and loss account.

Longworth Limited
Balance sheet
as at 30 April 2019

	Notes	2019 US\$'000	2018 US\$'000
Fixed assets			
Financial assets	7	5,303	5,617
Current assets			
Debtors	8	200,000	100,000
Cash at bank and in hand		218	78
		200,218	100,078
Provisions covering filling in within one year	9	(7)	(5)
Net current assets		200,211	100,073
Net assets		205,513	105,690
Capital and reserves			
Share capital	10	-	-
Capital contribution	11	200,000	100,000
Profit and Loss account		5,113	5,690
Shareholder's funds		205,113	105,690

The financial statements are prepared and audited for the period of 12 months or
less, and are signed on behalf of the

Director
Director

Director
Director

Longnorth Limited
Statement of changes in equity
For the financial year ended 30 April 2019

	Called up share capital	Capital contribution	Profit and reserve less reserve	Total
	US\$ 000	US\$ 000	US\$ 000	US\$ 000
At 1 May 2018	-	80,000	5,113	85,113
Loss for the financial year	-	-	(28)	(28)
Capital contribution received during the year	-	200	-	200
At 30 April 2018	-	80,200	5,085	85,285
At 1 May 2018	-	80,200	6,430	86,630
Loss for the financial year	-	-	(1,377)	(1,377)
At 30 April 2019	-	80,200	5,053	85,253

Longworth Limited

Notes to the financial statements

for the financial year ended 30 April 2019

1 Accounting policies

The principal accounting policies are summarised below. They have been applied consistently throughout the financial year and to the preceding financial year.

Basis of preparation

The financial statements are prepared in accordance with the Companies Act 2014 and IFRS 105 'The Financial Reporting Standards applicable to the UK and Republic of Ireland'.

Group accounts

These financial statements present information about the company as an individual undertaking and not about its group. In accordance with Section 900 Companies Act 2014, the company is exempt from the obligation to prepare and deliver group financial statements as it is a subsidiary undertaking whereby either we are established under the laws of an EEA state. The company is included within the consolidated financial statements of Brown-Forman Corporation, incorporated in the USA.

Basis of accounting

Longworth Limited is a company incorporated in Ireland under the Companies Act 2014. The address of the registered office is given on page 3. The nature of the company's operations and its principal activities are set out in the directors' report on pages 3 to 4.

The financial statements have been prepared under the historical cost convention, modified to include certain items at fair value, and in accordance with Financial Reporting Standard 102 (FRS 102) issued by the Financial Reporting Council, and promulgated for use in Ireland by Chartered Accountants Ireland.

The functional currency of Longworth Limited is considered to be USD because that is the currency of the primary economic environment in which the company operates.

These financial statements comprise financial statements.

Longworth Limited meets the definition of a qualifying entity under FRS 102 and has therefore taken advantage of the disclosure exemptions available to it as a result of its separate financial statements. Longworth Limited is consolidated in the financial statements of its ultimate parent, Brown-Forman Corporation, which are available from the Company House, 900 Dixie Highway, Louisville, Kentucky, 40250. Exemptions have been taken in these separate company financial statements in relation to financial instruments, presentation of a cash flow statement, key management compensation and related party transactions.